

Fidelity vs. Charles Schwab Roth IRA Comparison (2026)

When choosing a Roth IRA provider, **Fidelity Investments** and **Charles Schwab** consistently rank as the top two choices across major financial review platforms like NerdWallet, StockBrokers.com, and Investopedia [1] [2]. Both offer zero-commission trading, no account minimums, and excellent educational resources, making them ideal for both beginners and experienced investors.

However, there are subtle differences in their offerings that might make one a better fit for your specific investing style.

High-Level Overview

Both brokers offer robust, well-rounded platforms, but they excel in slightly different areas:

- **Fidelity** is widely considered the best overall choice for most investors, particularly beginners and those who value holistic retirement planning. It boasts superior cash interest rates, zero-expense-ratio mutual funds, and an exceptional suite of retirement planning tools [1].
- **Charles Schwab** is an excellent legacy broker that shines for investors seeking a massive selection of no-transaction-fee mutual funds, advanced trading platforms (thinkorswim), and futures trading capabilities [1] [2].

Feature-by-Feature Comparison

The following table breaks down the key features of both platforms to help you compare them directly.

Feature	Fidelity Investments	Charles Schwab
Account Minimum	\$0	\$0
Stock & ETF Trade Commissions	\$0	\$0
Options Trades	\$0.65 per contract	\$0.65 per contract
Account Fees	\$0 (No annual, inactivity, or closure fees)	\$0 (No annual, inactivity, or closure fees)
Interest Rate on Uninvested Cash	~3.97% (Significantly higher)	~0.05% (Very low)
No-Transaction-Fee Mutual Funds	Over 3,200	Over 7,700 (More than double Fidelity)
Fractional Shares	Yes	Yes
Cryptocurrency Trading	Yes (Bitcoin, Ethereum, etc.)	No
Futures Trading	No	Yes
Robo-Advisor Option	Fidelity Go (Free under \$25K)	Schwab Intelligent Portfolios
Account Transfer Fee (Full ACAT)	\$0	\$50
Trading Platforms	Fidelity.com, Mobile App, Fidelity Trader+	Schwab.com, Mobile App, thinkorswim (Web, Desktop, Mobile)

Deep Dive into Key Differences

1. Uninvested Cash and Fees

One of Fidelity's most significant advantages is how it handles your uninvested cash. Fidelity automatically sweeps uninvested cash into a money market fund that earns a highly competitive yield (historically around 3.97% to nearly 5% depending on the rate environment) [1]. In contrast, Charles Schwab pays a meager ~0.05% on uninvested cash,

meaning you must actively move your cash into a money market fund if you want it to earn a yield.

Additionally, Fidelity does not charge a fee if you ever decide to transfer your entire account to another broker. Schwab charges a \$50 full Account Transfer (ACAT) fee [2].

2. Investment Selection

If you prefer a hands-off approach using mutual funds, Schwab offers over 7,700 no-transaction-fee mutual funds, more than double Fidelity's roughly 3,200 [1]. This massive selection ensures you can likely find the exact fund you want without paying extra fees.

However, Fidelity counters this by offering several index funds with a **zero percent expense ratio** (e.g., FZROX, FZILX). These "Fidelity Zero" funds are virtually unmatched in the industry and allow you to invest in the broad market entirely for free [1].

For alternative assets, Fidelity supports cryptocurrency trading directly within your account, whereas Schwab does not. Conversely, Schwab supports futures trading, which Fidelity lacks [2].

3. Trading Platforms and Research

For advanced or active traders, Schwab holds the edge. Through its acquisition of TD Ameritrade, Schwab now offers the legendary **thinkorswim** platform across desktop, web, and mobile [1]. This platform provides incredibly deep charting, 374 technical indicators, and paper trading (simulated trading to test strategies) [2].

Fidelity's platforms are robust and user-friendly, offering excellent research and data from providers like Argus and Zacks, but they lack the extreme customization and paper trading capabilities of Schwab's thinkorswim [1] [2].

4. Retirement Planning Tools

Fidelity's retirement planning tools are widely considered best-in-class. The platform features the "Fidelity Retirement Score," which provides a quick, easy-to-understand metric of your retirement readiness. Furthermore, because Fidelity is the largest 401(k) administrator in the US, many investors find it highly convenient to have their Roth IRA and employer-sponsored 401(k) housed under the same login [1].

The Verdict: Which Should You Choose?

Choose Fidelity if:

- You are a beginner or a long-term retirement investor.
- You want your uninvested cash to earn high interest automatically.
- You want access to zero-expense-ratio index funds.
- You want the option to invest in cryptocurrency.
- You value having your 401(k) and Roth IRA in one place (if your employer uses Fidelity).

Choose Charles Schwab if:

- You are an active trader who wants access to the powerful thinkorswim platform.
- You want to practice strategies using paper trading.
- You want the widest possible selection of no-transaction-fee mutual funds.
- You plan to trade futures.

Both brokers offer an outstanding experience for Roth IRA investors. For the majority of everyday investors looking to build wealth steadily and tax-free, **Fidelity** slightly edges out the competition due to its customer-friendly cash sweep rates and zero-fee index funds.

References

- [1] NerdWallet. (2026). *Fidelity vs. Schwab: 2026 Comparison*. Retrieved from <https://www.nerdwallet.com/investing/learn/fidelity-vs-schwab>
- [2] StockBrokers.com. (2025). *Charles Schwab vs Fidelity 2026*. Retrieved from <https://www.stockbrokers.com/compare/charlesschwab-vs-fidelityinvestments>